

Quarterly Investment Report

Q1 2022 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	58.4%	+2.27%	-0.04%
Credit	22.4%	+0.39%	-1.30%
Equities	10.3%	+0.65%	+0.92%
Property	7.3%	+1.15%	-2.60%
Cash	6.9%	+1.11%	+2.44%

Market Commentary

During Q1 2022, gilt yields moved by approximately -22bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.